

salesman. Certainly, sales was the major part of Ms. Hall's preoccupation. Her recommending of Gillette was the easy part of the job. After that, she had to go out and stir up demand, so the price would increase and fulfill the prophecy.

(Apparently, analysts have not always been salesmen. Once, they were more like accountants, but that all changed on May 1, 1975, when fixed commission rates on stocks were abolished. For reasons I'll explain in a minute, the profession was revolutionized, and analysts were turned from introverts into extroverts almost overnight.)

My visits with analysts put a great many things into better focus and helped me understand what the average investor is dealing with. For instance, you may have noticed that it's rare for a brokerage firm to use the word *sell* in any of its reports. The word *sell* is very troublesome for the analyst, especially in the role of salesman. "I don't think you'll hear too many 'sells,' " Mr. Raj admitted to me. "If we say 'sell' at Merrill Lynch, people accuse us of pulling the plug on the stock."

I read somewhere that the ratio of buy recommendations to sell recommendations is 50 to 1 in favor of the former, and after my sojourn I wouldn't be surprised. If an analyst cries "sell," he's likely to lose favor with the company and be bumped from a favorable position in the string of phone calls. Even if he's right and the stock falls into disfavor, the big investors who bought it on his earlier "buy" signal may wonder why he didn't see the trouble then.

I've mentioned the "1-1" and "2-2" of Prudential Bache; the "match" or "outperform" the market at Solomon; and the "average," "above average," and so forth at Merrill Lynch. The various rating systems used by brokerage firms are a form of diplomatic language, similar to the flatteries employed by courtiers to disguise direct criticism. Instead of saying "sell," a brokerage firm is better off saying "hold." *Hold* may be a polite way of advising clients to get out of a stock, without offending and corporate bankers and other principals. Some firms that don't use the *buy* and/or *hold* vocabulary accomplish the same with *positive/neutral*, in which *neutral* takes the place of *sell*, or with a numerical ranking system like the one employed at Prudential-Bache. Other substitutes for